

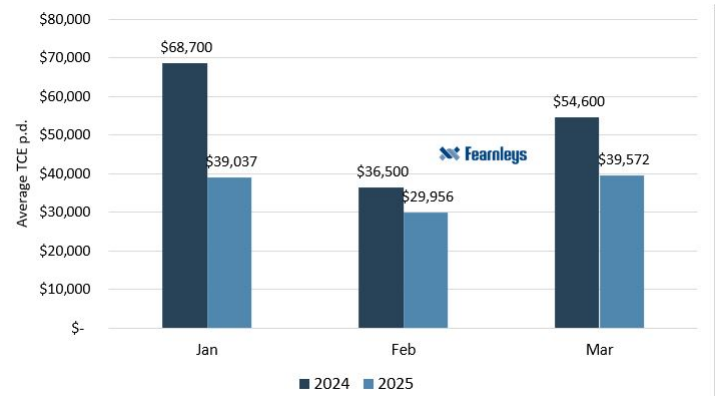
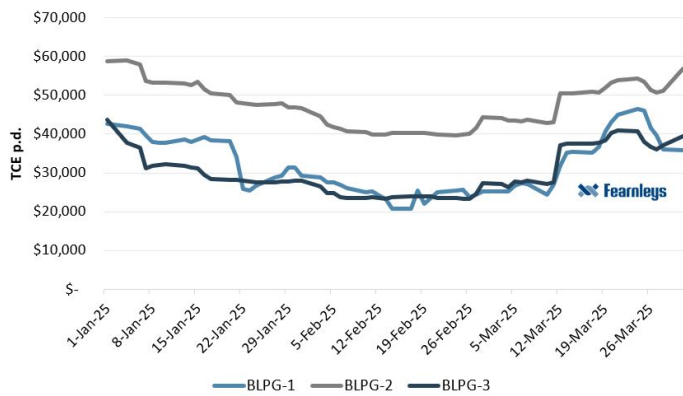
VLGC Quarterly Report - Q1 2025

Apr 4, 2025

Mia Willoch

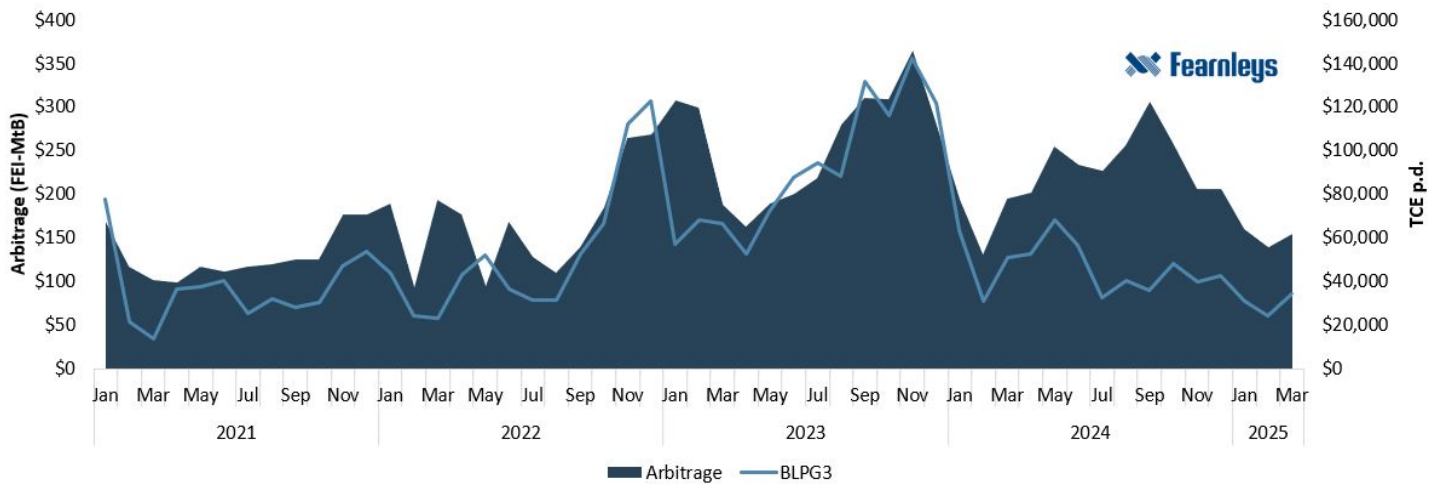


Earnings

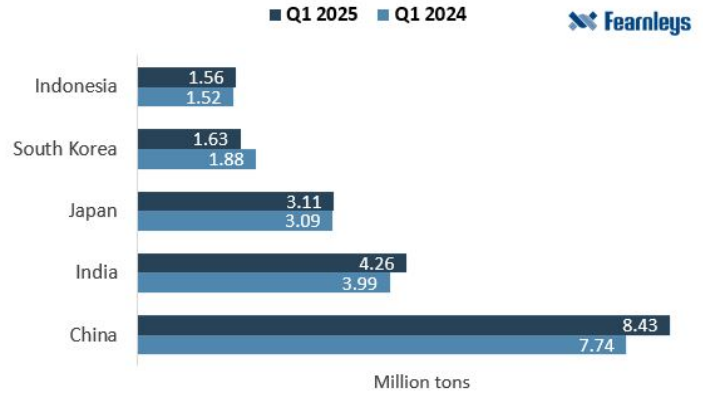
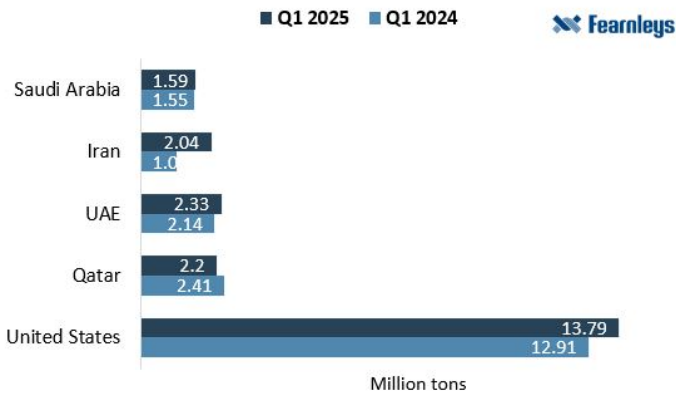


The year was off to a smooth start, with earnings levels fluctuating in rather small waves. **The quarterly average ended at \$36,000 p.d.** across the three indexes. See detailed overview in the charts below. This is 32% lower than the quarterly average in 2024.

U.S. exports have been growing at a quicker pace than production, resulting in rather large draws in propane inventories. This has further increased the Mt. Belvieu price, narrowing the arbitrage possibilities, which in turn takes a toll on freight rates, as seen below. It appears that all eyes are on the U.S. these days, both in terms of their newly appointed President and his political strategies, as well as the announced terminal capacity expansions expected to come online and boost the market.



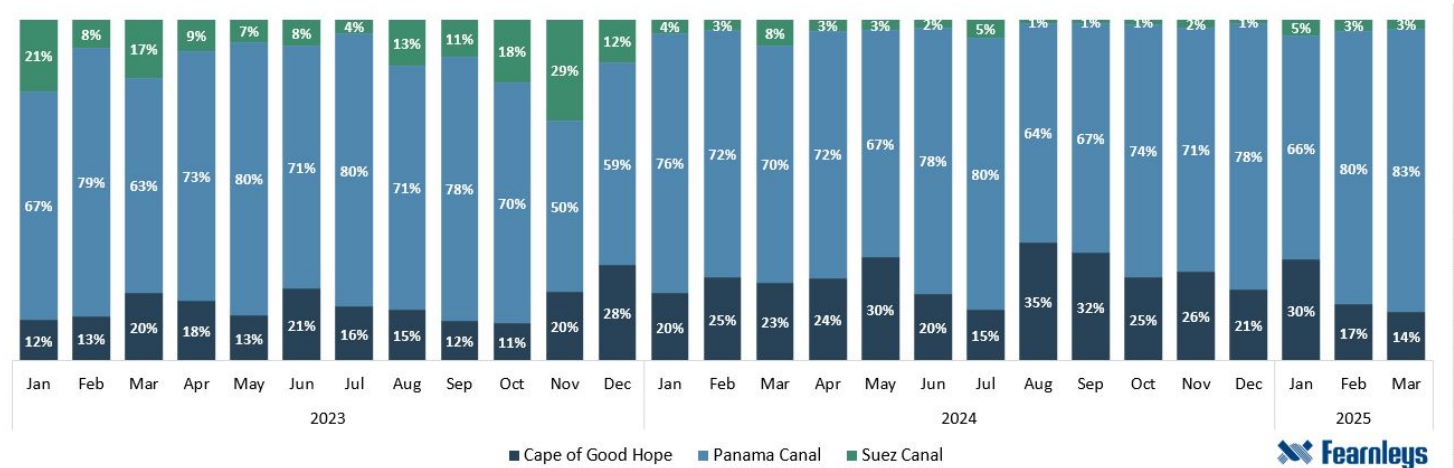
Exports and Imports



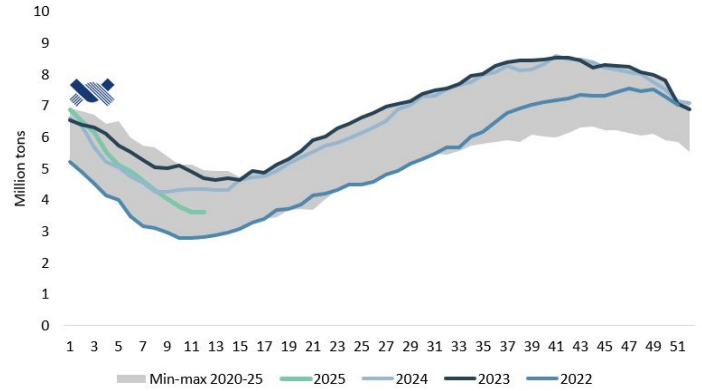
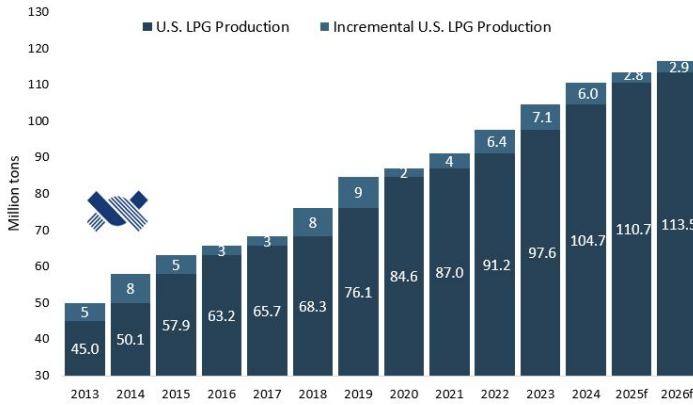
Panama or Cape of Good Hope?

Total transits through the Panama Canal was down 20% in 2024, due to a larger portion of the world fleet choosing to sail longer routes, in order to avoid potential and familiar congestion at the canal. This opened up more capacity, both beneficial to, and utilized by the VLGCs, where total transits were up by 220. This compared to 2023, when a larger share of the fleet chose to sail around COGH instead.

The general cost for a VLGC to transit the canal, saw a big jump on Jan. 1st of 2025, a total increase of 36.8%. This might be an indication of the canal's bullishness for this year, where they have incorporated their Long Term Slot Allocation system, where several packages of slots was pre-auctioned away in 2024. These slots make up 40% of transit capacity in the Neo-panamax locks, which are the ones most utilized by VLGCs, as 88% of the fleet are Neo-panamaxes. This causes further concern that a portion of the fleet is likely to continue to utilize the COGH route, as capacity is set to be tighter. This will especially be the case for ballasting legs going back to the West. *Chart below is of U.S. laden voyages going East.*

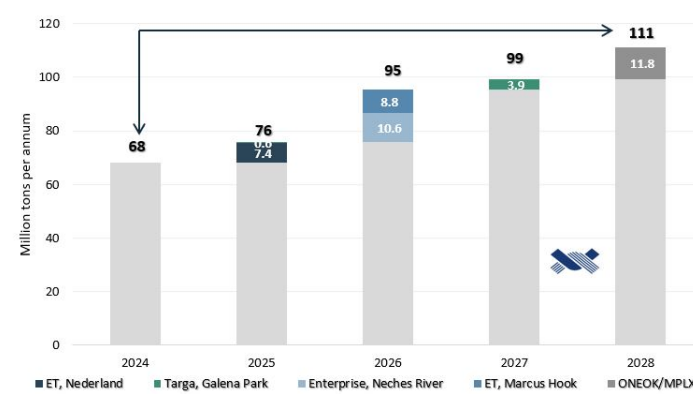


U.S. Production and Terminal Capacity Expansion



U.S. LPG production continues to increase, with total production up 27.25% over the past five years. Only 5% growth is expected in the next three years; however, export capacity is set to increase substantially during the same period. Domestic consumption remains stable, as do export levels, which hover around 60%. VLGCs account for 82% of all seaborne exports, which amounted to 52 million tons in 2024.

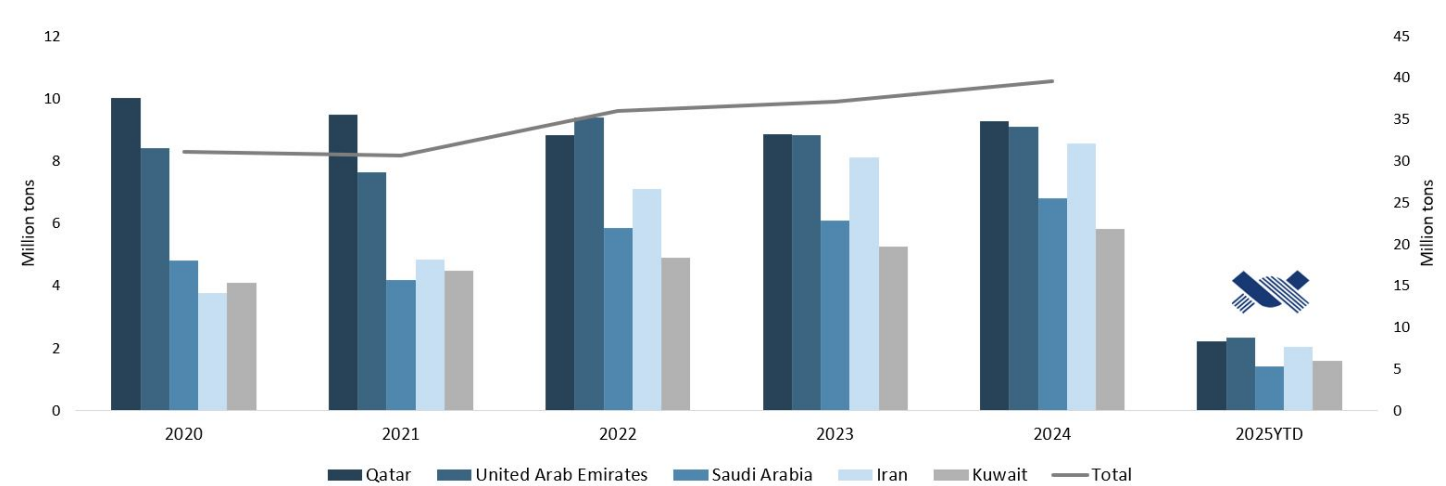
Announced capacity expansions from several U.S. terminals have boosted market confidence going forward, as this incremental supply is likely to fulfill the expanding fleet's needs better than previously anticipated. *See an overview of the announced capacity increases below.*



It should be noted that both the Nederland and Neches River capacities will be LPG/ethane flexible volumes. Total U.S. export capacity is set to increase from 68 to 111 MTPA by 2028 with the completion of these projects. This would boost export capacity by 65% from 2024 to 2028—a substantial jump that is warmly welcomed by a growing fleet.

What will materialize as the *actual* incremental exports is yet to be seen; however, it will likely be less than the full capacity numbers. Nevertheless, this move by U.S. energy suppliers further underscores the market's desire to expand and grow.

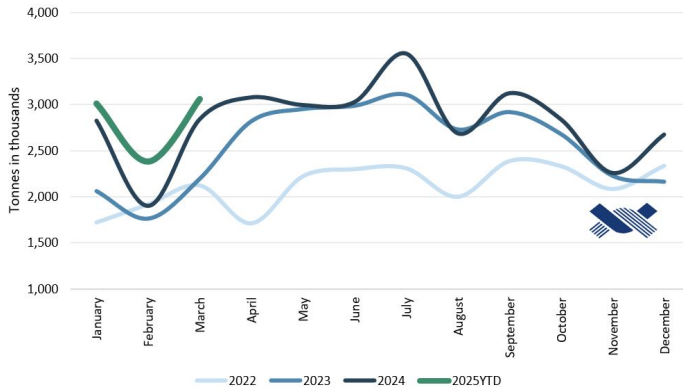
The Middle East



So far this year, supplied exports from the Middle East have been stable, with about 2 million tons provided from each country. We are not expecting to see much growth from the region in 2025, however, in 2026, long-awaited natural gas

projects in Qatar will finally come online (North Field East). Additionally, in 2027 (North Field South), which will result in some incremental LPG output. Approximately 4.2 MTPA in 2026, and another 2 MTPA in 2027, increasing the regions export capacity from 46 to 52 MTPA. This additional supply of LPG will be beneficial to the fleet expansion that will occur at the same time.

Chinese Demand

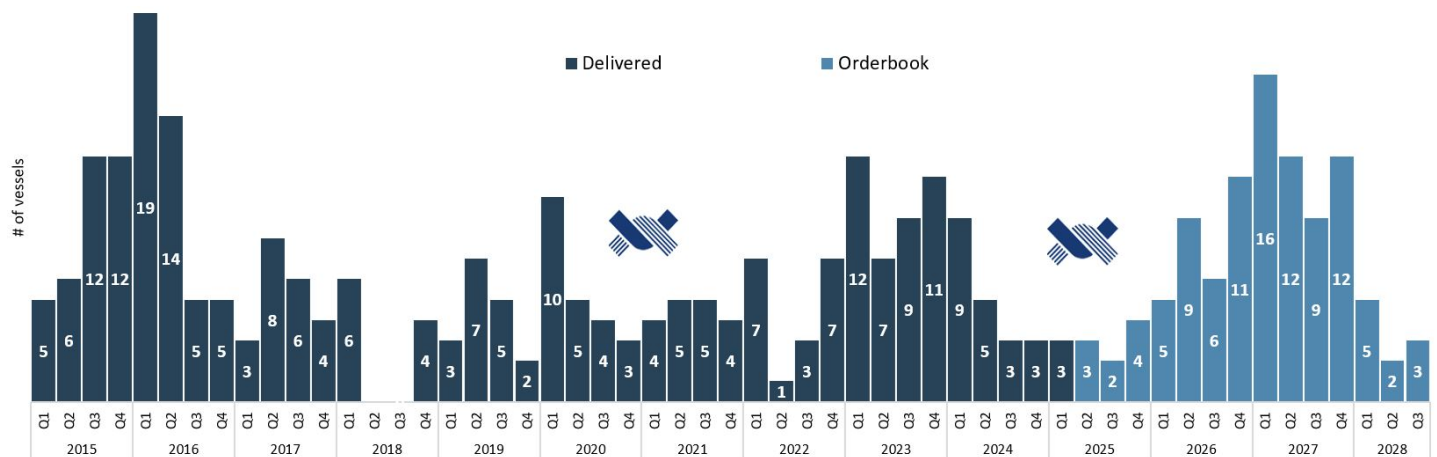


Strong import demand from China has continued into 2025. In Q1, they imported 8.5 million tons via VLGCs, up 700,000 tons compared to Q1 2024. Their demand is still driven by the petrochemical sector and increasing PDH (propane dehydrogenation) capacity coming online. This capacity is set to grow further during the rest of the year.

During February and March, Chinese PDH margins turned positive after being negative throughout the second half of 2024. However, at the end of March, they went negative again.

There is currently much uncertainty in China regarding the imposed tariffs, and possible fees suggested by the President of the United States and the USTR. As 50% of all imported LPG in 2025 came from the U.S., it could have significant consequences for trade. It remains to be seen how China will respond to the import tariffs and whether the port call fees will be imposed. This sets the stage for an already interesting second quarter of the year.

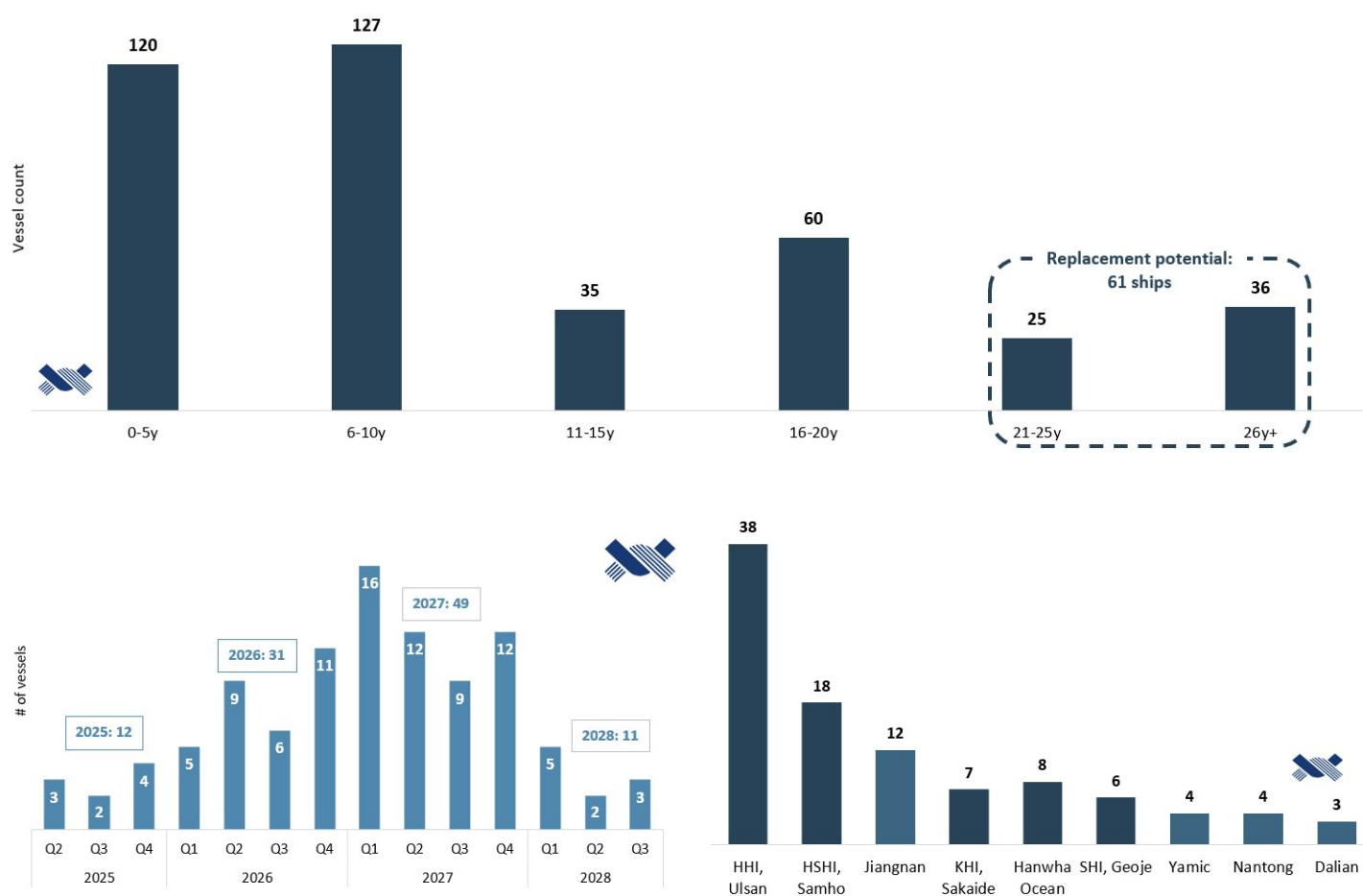
Fleet and Orderbook



During the first quarter of 2025, three newbuilds were delivered—one in January and two in March. All three ships are capable of lifting ammonia at 85% capacity. The remaining number of deliveries for the year is nine, giving a total of 12 newbuilds. The fleet now stands at 404 ships, including floating storage. The orderbook consists of 100 ships, resulting in an orderbook-fleet ratio of 24.75%, which is just above the 20-year average of 21%. However, during 2026 and 2027, the fleet will grow by 19.4% in total, potentially causing more substantial disruptions to the fleet balance.

The trading fleet is aging, with 61 ships now over 20 years old, equaling 15% of the fleet. These ships are likely to enter the sanctioned part of the fleet (some already have) or become scrapping candidates. This could help relieve some of

the fleet growth expected in the next two to three years. The number of ships scheduled for their 5-year special survey is high in the next years; 75 in 2025 and 82 in 2026.



Hyundai remains the largest builder of newbuilds, while one quarter of the newbuilds are being constructed in China. Normally, this would not be of much interest to the masses; however, in light of the recent proposed port call fees for Chinese-built ships, it could have an impact, going forward.

There are currently 50 live VLGCs that are Chinese-built, with an additional 23 on order. Combined, this equals 12.4% of the live fleet and 23% of the orderbook.

The situation could turn more sour for the VLECs (Very Large Ethane Carriers), where 37% of the live fleet is Chinese-built, and 73% of the orderbook is going to be Chinese-built. The VLEC trade route is a one-way trade from the U.S. to Far East Asia. For this market, it would cause a massive impact on the delivered cost of ethane, which has gained its competitiveness largely from being a cheaper feedstock compared to alternatives. A higher delivered cost would minimize the competitive advantage of U.S. ethane, resulting in a negative outcome for both countries.

After two consecutive years of record-number orders placed for VLGC newbuilds, contracting has eased in Q1, with no orders placed year-to-date. Even though overall yard capacity remains tight, due to strong activity from other segments, the current price for a VLGC newbuild is around \$118 million.

Outlook

We expect earnings to remain in the \$40,000 p.d. range for the remainder of the year. Increased export capacity in the U.S. coming online in Q3 will likely have a positive effect on earnings. For 2026, further capacity will come online in the U.S., in addition to the expected supply boost from the Middle East. We expect this supply to ease the effect of a growing fleet when another 30 newbuilds come onto the water next year.



The fleet will continue to grow, and whether this additional tonnage will be absorbed depends on the realized increases in exports from both the U.S. and the Middle East. Additionally, the sailing pattern of the fleet remains volatile, where each voyage's choice between the Panama Canal or the Cape of Good Hope impacts the fleet's availability and capacity. The first of many VLACs (Very Large Ammonia Carriers) will be delivered next year; however, we do not separate these ships from VLGCs in the fleet, as the only difference is that they can carry ammonia at 98% capacity. They will likely trade LPG as regular VLGCs for the coming years, as the infrastructure to load and discharge ammonia on such large ships is not yet developed.

The Panama Canal has now started the Long Term Slot Allocation System, which takes up 40% of the capacity in the Neo-panamax locks. Panamaxers will therefore likely have an advantage in order to transit. However, half of the order-book consists of Panamaxers, so this capacity is also going to change going forward.



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